



Figure 39.4 Failure of a head-and-shoulders bottom to stage an upward breakout.

Volume is suspiciously low throughout the pattern. The left shoulder and head register about the same level of volume. The right shoulder volume, however, is higher than the other two. Of course, an irregular volume pattern is no reason to discard a chart pattern, but it is a warning signal.

After the right shoulder forms and price begins rising, volume tapers off rapidly, and the attempt to pierce the neckline fails. The rally attempt does not even come close to the neckline.

Looking at the overall chart pattern, there is no one item that signals an impending failure. There is some suspicious activity, principally the abnormal volume pattern, but nothing to deter an investor.

Figure 39.5 shows a slightly different type of failure. This is what I call a 5% failure. The two shoulders and head appear well formed and distinct. The left shoulder looks different from the right, but the twin rises between the shoulders (armpits) look similar. The price level of the two shoulders is not suspiciously out of line.